FLOOD INSURANCE - SUMMARY OF COVERAGE

Educational exercise document adapted from the FEMA National Flood Insurance Program (NFIP) Summary of Coverage - U.S. Government work, public domain.

1. What This Document Is

This summary helps you understand a Standard Flood Insurance Policy issued under the National Flood Insurance Program (NFIP). It is not the policy itself: only the policy contract defines the exact terms of coverage. If anything in this summary conflicts with the policy, the policy controls.

2. Types of Coverage

The Standard Flood Insurance Policy offers two types of coverage. Building Property coverage insures the building itself up to a maximum of 250,000 US dollars for a residential building. Personal Property (Contents) coverage insures your belongings up to a maximum of 100,000 US dollars. Building and contents coverage are purchased separately, each with its own deductible: a claim involving both the building and its contents is therefore subject to two deductibles.

3. When Coverage Begins (Waiting Period)

There is typically a 30-day waiting period between the purchase of a flood insurance policy and the start of coverage. The main exception is a policy purchased in connection with making, increasing, extending or renewing a mortgage loan, in which case coverage can begin immediately.

4. How Losses Are Valued

Building Property coverage on a single-family primary residence is paid at replacement cost, provided the building is insured for at least 80 percent of its full replacement cost or for the maximum amount available under the program. Otherwise, and for all Personal Property claims, losses are paid at actual cash value, meaning replacement cost minus depreciation.

5. What Is Covered - Building Property

Building Property coverage includes, among other items: the insured building and its foundation; the electrical and plumbing systems; central air conditioning equipment, furnaces and water heaters; refrigerators, cooking stoves and built-in appliances; permanently installed carpeting over an unfinished floor; window blinds; a detached garage (up to 10 percent of Building Property coverage); and debris removal.

6. What Is Covered - Personal Property

Personal Property coverage includes, among other items: clothing, furniture and electronic equipment; curtains; portable air conditioners; portable appliances such as microwave ovens and dishwashers; carpets not included in building coverage; and washers and dryers. Certain valuable items, such as original artwork and furs, are covered only up to a combined limit of 2,500 US dollars.

7. Basements and Areas Below the Lowest Elevated Floor

Coverage in basements is limited regardless of the zone. In a basement, the policy covers cleanup expenses and items such as furnaces, water heaters, washers and dryers, food freezers, well water tanks and pumps, and required utility connections. The policy does NOT cover the following items in a basement: paneling, bookcases, carpeting, drywall for walls and ceilings below the lowest elevated floor, and most personal belongings such as clothing, electronic equipment and furniture kept in a basement.

8. What Is Not Covered

The Standard Flood Insurance Policy does not cover, among other things: damage caused by moisture, mildew or mold that could have been avoided by the property owner; currency, precious metals and valuable papers such as stock certificates; property outside of the insured building, such as trees, plants, wells, septic systems, decks, patios, fences, seawalls, hot tubs and swimming pools; living expenses such as temporary housing while the building is being repaired; financial losses caused by business interruption; and most self-propelled vehicles, such as cars.

9. Increased Cost of Compliance

If your home is substantially damaged by a flood, Increased Cost of Compliance coverage can provide up to 30,000 US dollars to help pay the costs of bringing the building into compliance with state or community floodplain management laws, for example by elevating, relocating or demolishing the building. This amount is in addition to the building claim payment, but the total payout for building coverage cannot exceed the 250,000 dollar program maximum.

10. Filing a Claim

After a flood, notify your insurer or agent immediately to start your claim, and separate damaged from undamaged property. An adjuster will inspect the damage. You must send the insurer a signed and sworn proof of loss within 60 days of the date of loss, including the amount you are claiming and supporting documentation such as photographs and receipts. Payment is made after the proof of loss is approved.

Document Status

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